University of St.Gallen

Course and Examination Fact Sheet: Autumn Semester 2025

3,130 | 4,130: Corporate Finance (BBWL)

ECTS credits: 4

Overview examination/s

(binding regulations see below)
central - Written examination, Analog, Individual work individual grade (100%, 90 mins.)
Examination time: Lecture-free period

Attached courses

Timetable -- Language -- Lecturer
3,130,1.00 Corporate Finance (BBWL) -- English -- Schmid Markus
3,130,2.01 Corporate Finance (BBWL): Case Studies, Group 1 -- English -- Huber Otto Rudolf
3,130,2.02 Corporate Finance (BBWL): Case Studies, Group 2 -- English -- Beiner Stefan
3,130,2.03 Corporate Finance (BBWL): Case Studies, Group 3 -- English -- Schnedler Philip
3,130,2.04 Corporate Finance (BBWL): Case Studies, Group 4 -- English -- Rederer Erik
3,130,2.05 Corporate Finance (BBWL): Case Studies, Group 5 -- English -- Beiner Stefan
3,130,2.06 Corporate Finance (BBWL): Case Studies, Group 6 -- English -- Rederer Erik
3,130,2.07 Corporate Finance (BBWL): Case Studies, Group 7 -- English -- Huber Otto Rudolf
3,130,2.08 Corporate Finance (BBWL): Case Studies, Group 8 -- English -- Schnedler Philip
3,130,3.00 Corporate Finance (BBWL): Exercises -- English -- Schmid Markus , Redemann Dominik Rainer , Walz Dominic , Schwarz Markus

Course information

Prerequisites

There are no formal prerequisites, but students greatly benefit from a basic knowledge of statistics, econometrics, and financial accounting, as taught in the compulsory courses "Statistics" and "Accounting, Controlling, Auditing". Hence, we strongly encourage students to attend these courses before taking "Corporate Finance".

Learning objectives

General Learning Objectives:

- Conceptual understanding: Students will develop a conceptual understanding of the basic models of investment and financing.
- Calculations: Students will learn to do basic calculations related to risk and returns, company and project valuation, cost of capital, bond pricing, risk management, and conflicts of interest.
- Reading and interpreting empirical results: Students will learn how to read, interpret, and critically assess empirical results that pertain to empirical tests in financial economics.

Detailed Learning Objectives:

Students will acquire the following competencies in this course:

- Students will learn the basic models of risk and returns in financial markets, simple equilibrium models, and how to derive the cost of capital. This includes the conceptual understanding of the use of OLS regressions in this context and the interpretation of results.
- Students will learn how to evaluate companies and projects using basic valuation tools and concepts.
- Students will learn how companies can issue securities for financing purposes.
- Students will learn the basic models and considerations in financing projects.

- Students will get to know alternative debt instruments and understand credit risk and its implications.
- Students will learn the basic concept of asymmetric information and signaling.
- Students will learn the basic intuition behind agency costs and conflicts of interests between various stakeholders in a firm.
- Students will learn about the most important corporate governance mechanisms to mitigate such costs.
- Students will learn about the most important risks firms are exposed to and the prevalent models and concepts used to measure and manage such risks.
- Students will understand the concept of market efficiency and learn about deviations rooted in behavioral (corporate) finance.
- Students will learn how to read, interpret, and critically assess empirical results that pertain to any of the above topics and basic models of investment and financing. The most important technical tool in all of these empirical analyses is OLS regression analysis.

Content

The course covers the typical topics covered by introductory corporate finance courses, such as the relation between risk and return in financial markets, portfolio theory and the Capital Asset Pricing Model, corporate valuation and the cost of capital, security issuance, capital structure, bonds and credit risk, market efficiency and behavioral (corporate) finance, risk management, and corporate governance. It also provides some insights into empirical finance research.

Structure and indications of the learning and teaching design

- This course is worth 4 credits. Accordingly, the total average workload for students is 120 hours. This includes self-study, campus time, and all examinations.
- The course takes place on site in St.Gallen.

The course consists of lectures, exercises, and independent studies.

Lectures:

Lectures provide the key material which builds the foundation of the course. On the one hand, lectures replicate key material from the course book and, on the other, also build on and extend the material provided in the course book. There will also be one or two guest lectures.

Exercises:

This segment of the course includes case study sessions and larger exercises covering and extending the contents of the lectures.

Independent Studies:

Solving multiple choice questions of the same structure as in the exam – these sessions are specifically meant to prepare students for the final exam.

Literature

Compulsory:

- Reader (electronically downloadable on the course's Canvas page)
- Textbook: BREALEY, MYERS, ALLEN, EDMANS: Principles of Corporate Finance, McGraw-Hill, 15th edition, 2025
- Harvard Case Studies: Links to the case studies will be provided on Canvas

Additional literature on each topic will be provided on the last slide of the respective lecture.

Additional information

The course will be held in person on campus and will NOT be recorded or broadcasted via Zoom.

Examination information

Examination sub part/s

1. Examination sub part (1/1)

Examination modalities

Examination type	Written examination
Responsible for organisation	central
Examination form	Written exam
Examination mode	Analog
Time of examination	Lecture-free period
Examination execution	Synchronous
Examination location	On Campus
Grading type	Individual work individual grade
Weighting	100%
Duration	90 mins.

Languages

Question language: English
Answer language: English

Remark

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Examination-aid rule

Closed Book

The use of aids is prohibited as a matter of principle, with the exception of pocket calculator models of the Texas Instruments TI-30 series and, in case of non-language exams, bilingual dictionaries without any handwritten notes. Any other aids that are admissible must be explicitly listed by faculty members in the paragraph entitled “Supplementary aids” of the course and examination fact sheet; this list is exhaustive.

Procuring any aids, as well as ensuring their working order, is the exclusive responsibility of students.

Supplementary aids

A formulary will be provided as part of the exam package.

Content

All topics and materials discussed in class; all slides (also when not covered in class); BREALEY, MYERS, ALLEN, EDMANS (2022) textbook chapters listed after each set of slides and in the slides "General Information"; guest lectures; all exercises, cases, as well as the contents of the independent studies.

A formulary and a normal distribution table will be attached to the exam and made available to students on Canvas before the exam.

Literature

• Reader (available on the course's Canvas page)

• Relevant chapters in: BREALEY, MYERS, ALLEN, EDMANS: Principles of Corporate Finance, McGraw-Hill, 15th edition, 2025

• Harvard Business School case studies

• Additional slides distributed via Canvas during the course (e.g., guest lectures)

Please note

Please note that only this fact sheet and the examination schedule published at the time of bidding are binding and takes precedence over other information, such as information on StudyNet (Canvas), on lecturers' websites and information in lectures etc.
Any references and links to third-party content within the fact sheet are only of a supplementary, informative nature and lie outside the area of responsibility of the University of St.Gallen.

Documents and materials are only relevant for central examinations if they are available by the end of the lecture period (CW51) at the latest. In the case of centrally organised mid-term examinations, the documents and materials up to CW 43 (Freitag, 24. October 2025) are relevant for testing.

Binding nature of the fact sheets:

- Course information as well as examination date (organised centrally/decentrally) and form of examination: from bidding start in CW 34 (Thursday, 21 August 2025);
- Examination information (supplementary aids, examination contents, examination literature) for decentralised examinations: in CW 42 (Monday, 13. October 2025);
- Examination information (supplementary aids, examination contents, examination literature) for centrally organised mid-term examinations: in CW 43 (Freitag, 24. October 2025);
- Examination information (regulations on aids, examination contents, examination literature) for centrally organised examinations: two weeks before ending with de-registration period in CW 45 (Monday, 03. November 2025).